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IN THE EVER-EVOLVING landscape of wealth management, young billionaires are forging their own, distinct path to growing their riches. They are seeking out investment opportunities in alternative avenues that encompass a range of options including real estate, start-ups and passion projects.

Not for them those conventional options of equities and fixed deposits. These individuals are diversifying their investment portfolios across a spectrum of sectors and are exploring opportunities that go beyond traditional products and even national boundaries.

Alok Saigal, President and Head of wealth management firm Nuvama Private, is seeing this change firsthand. He says young ultra-high-net-worth individuals (UHNIs)—those whose wealth is valued at over \$30 million—have a very different approach to investing compared with their forebears. “They are seeking investment opportunities beyond conventional wealth management products like mutual funds, PMS (portfolio management services), bonds, and stocks. They are also keen on opportunities beyond domestic frontiers and manage currency and geographic risk efficiently—since they consider themselves global citizens,” he says.

START-UPS

One bandwagon appears to be investments in the start-up space. Young start-up founders who have turned billionaires are giving back to the ecosystem that brought them these riches, increasingly deploying their capital and expertise in other start-ups. Entrepreneurs discern the value of diversifying their portfolios. They often

seek opportunities that resonate with their industry knowledge, enabling them to harness their insights and networks.

Kunal Shah, the 40-year-old Founder and CEO of fintech company Cred, is one such example. He said at a recent event that he has invested in around 80 fintech start-ups, typically committing an average of \$50,000 in each. “I do not have any mutual funds or stocks; my investments are entirely focussed on start-ups as a way to give back. The primary motivation is not financial returns but rather contributing to the advancement of the ecosystem,” he said during a discussion on *CNBC-TV18* at the Global Fintech Fest 2023. According to research firm Tracxn, Shah has provided early support to several fintech enterprises, including payments firm Razorpay and crypto asset app CoinSwitch.

Others, too, like the founders of Indian unicorns Zerodha, Paytm, and Zomato, have dabbled with investments in the Indian start-up ecosystem.

Typically, these investments are directed towards early-stage start-ups, often in the seed or Series A stages. “In such scenarios, investors anticipate returns ranging from 2x to as much as 10x of their initial investment within a couple of years. Co-investing with fellow

FOREIGN HOMES ARE ALSO GAINING POPULARITY, AS THEY HOLD THE PROSPECT OF ACQUIRING CITIZENSHIP OR RESIDENCY RIGHTS

